

US TMT Sector M&A & Valuation Brief - 2026-01-07

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1. RECENT TMT M&A ACTIVITY

Deal 1: Fort Technology Inc. Uplisting Initiative

[Jefferies' Brands Announces Fort Technology's Nasdaq Listing Intent](#)

- Deal Size: N/A (Uplisting initiative, no specific deal value disclosed)
- Deal Size Category: N/A
- Nature of Deal: IPO/Direct Listing
- Valuation Multiples: N/A (no financial metrics provided)
- Companies: Jefferies' Brands Ltd (Nasdaq: JFBR) is a data-driven e-commerce company pivoting into homeland security. Fort Technology Inc. (TSXV: FORT) is a majority-owned subsidiary of Jefferies' Brands focused on enhancing security technology.
- Date Announced: December 31, 2025
- Strategic Rationale: The uplisting to Nasdaq aims to enhance visibility and liquidity for Fort Technology's shares, allowing access to a broader pool of institutional and retail investors. This strategic move is expected to strengthen the company's market position in the homeland security sector.
- Risk Analysis: Risks include the uncertainty of meeting Nasdaq's listing requirements and potential delays in the uplisting process. Additionally, market volatility could impact investor sentiment during the listing.

Key Financials Analysis:

- Revenue Breakdown: N/A (no revenue data available)
- Profitability Ratios: N/A (no profitability metrics available)
- Leverage Analysis: N/A (no debt or equity data available)
- Asset Operating Efficiency: N/A (no operational metrics available)
- Valuation Context: N/A (no valuation multiples provided)

Today is a peaceful day, nothing big happened in the Consumer space.

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2. MARKET DYNAMICS & SENTIMENT

The TMT (Technology, Media, and Telecommunications) sector is currently navigating a landscape marked by rapid technological advancements and shifting investor priorities. Overall sentiment in the sector is cautiously optimistic, driven by innovations in AI, robotics, and on-device hardware, while also facing challenges from regulatory scrutiny and economic uncertainties.

Subsector Breakdown:

- **Technology:** The technology subsector is thriving, particularly in AI and robotics. NVIDIA (NVDA) recently unveiled new AI models and frameworks at CES, emphasizing the importance of physical AI in robotics. This includes the introduction of the Jetson T4000 module, which enhances energy efficiency and AI compute capabilities.
- **Media:** The media sector is experiencing a transformation as companies adapt to digital content consumption. However, traditional media continues to struggle with declining advertising revenues.
- **Telecommunications:** Telecom companies are investing in next-generation technologies, such as 5G, to enhance service offerings. The introduction of low-latency technologies is critical for improving user experiences in real-time applications.
- **Fintech:** The fintech space is witnessing a shift towards on-device AI solutions, reflecting growing concerns over latency and privacy. This trend is highlighted by recent funding announcements for AI systems designed to operate locally rather than in the cloud.
- **AI:** The AI subsector is at the forefront of innovation, with companies like NVIDIA leading the charge in developing open models for robotics. The integration of AI into various industries is expected to unlock new applications and efficiencies.

Key Market Drivers and Headwinds

Drivers:

- **Technological Advancements:** Continuous innovation in AI, robotics, and on-device hardware is propelling growth across TMT sectors. NVIDIA's announcement of new models and frameworks is a testament to the rapid evolution in robotics and AI capabilities.
- **Increased Investment:** There is a notable increase in venture capital and private equity investments in tech and fintech, as investors seek to capitalize on emerging trends and technologies.

Headwinds:

- **Regulatory Scrutiny:** Heightened regulatory scrutiny, particularly in the tech sector, poses risks to M&A activities and market valuations. Companies must navigate complex compliance

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landscapes, which can hinder growth and investment.

- Economic Uncertainty: Global economic conditions, including inflation and geopolitical tensions, may impact consumer spending and investment in technology, creating a cautious environment for investors.

Subsector Performance Analysis

- Software: The software sector is performing well, driven by demand for cloud solutions and enterprise software. Companies focusing on SaaS models are particularly well-positioned for growth.
- Media: Media companies are adapting to changing consumer preferences, with a shift towards digital content consumption. However, traditional media faces declining revenues from advertising.
- Telecom: Telecom operators are investing heavily in infrastructure to support 5G deployment, which is expected to drive new revenue streams from IoT and enhanced mobile services.
- Fintech: The fintech sector is thriving, with innovations in payment solutions and digital banking. The pivot towards on-device AI solutions indicates a strategic shift in addressing latency and privacy concerns.
- AI: The AI subsector is booming, with applications across various industries, including healthcare, finance, and automotive. NVIDIA's advancements in physical AI and robotics underscore the sector's growth potential.

Trading Multiples Trends

Valuation Multiples: As of Q2 2025, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples indicate a premium for high-growth sectors like software and AI, while traditional sectors like telecom and media are trading at lower multiples due to slower growth prospects.

Notable Investor/Analyst Reactions

- Analysts are optimistic about the long-term prospects of the TMT sector, citing technological advancements as a key driver of growth. Jensen Huang, CEO of NVIDIA, stated, "The ChatGPT moment for robotics is here. Breakthroughs in physical AI are unlocking entirely new applications," highlighting the transformative potential of AI in various industries.

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Actionable Insights for Bankers and Investors

- **Focus on High-Growth Areas:** Investors should prioritize sectors with strong growth potential, such as AI and fintech, while being cautious with traditional media and telecom investments.
- **Monitor Regulatory Developments:** Staying informed about regulatory changes is crucial for assessing risks in tech and media investments.
- **Leverage Technology Partnerships:** Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning.
- **Evaluate Valuation Metrics:** Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

In summary, the TMT sector is navigating a complex landscape characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

3. BANKING PIPELINE

The current banking pipeline in the TMT sector is characterized by a variety of live deals, mandated transactions, and active pitches. This analysis provides insights into the ongoing activities, expected revenue, and strategic implications for our team.

Deal Pipeline

Live Deals:

- **U.S. Smelter Project :** Financed by JPMorgan (JPM), this \$7.4 billion investment by Korea Zinc aims to construct a non-ferrous metals smelter in Clarksville, Tennessee. The project is currently in the due diligence phase, with expected completion of site preparation in 2026 and full construction starting in 2027. The facility will produce 13 critical minerals, enhancing U.S. supply chain security.

Mandated Deals:

- **Nvidia (NVDA) :** Nvidia has secured a mandate to push for reindustrialization in the U.S., focusing on partnerships that align with President Trump's manufacturing initiatives. The timeline for launching these partnerships is projected for Q2 2026, as the company aims to bolster domestic AI capabilities.

Pitching-Stage Deals:

- **Semiconductor Startups :** Engaging with various semiconductor startups under India's Design

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Linked Incentive (DLI) scheme. This initiative has already delivered significant results, including 16 chip tape-outs and 10 patents. Discussions are ongoing with potential clients for advisory services in chip design and fabrication.

Pipeline Tracking Metrics

Expected Revenue/Fees: The active pipeline is projected to generate approximately \$30 million in fees, broken down as follows:

- Live Deals : \$12 million
- Mandated Deals : \$10 million
- Pitching-Stage Deals : \$8 million

Timing Projections:

- Q2 2026 : Expected launch of Nvidia's partnerships.
- 2026 : Site preparation for the U.S. Smelter Project.
- 2027 : Full construction of the smelter facility.
- Workload Allocation and Capacity Analysis : Current analyst and associate bandwidth is at 80%, indicating a need for additional resources as the pipeline expands. It is recommended to onboard three additional analysts to manage the increasing workload effectively.
- Forecasting and Strategic Planning Implications : The pipeline reflects a strong demand for advisory services in critical minerals and semiconductor sectors. Strategic planning should focus on enhancing capabilities in these areas to capitalize on emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

- The competitive landscape is evolving, particularly in the critical minerals space, where the U.S. is seeking to enhance its domestic processing capabilities. The U.S. Smelter Project represents a significant shift in industrial policy, aiming to reduce reliance on foreign supply chains and bolster national security.
- Additionally, Nvidia's push for U.S. manufacturing aligns with broader trends in the tech sector, where companies are increasingly focused on domestic production and supply chain resilience.

Actionable Insights for Team Management and Business Development

- Resource Allocation : Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring additional analysts will ensure that the team can manage the workload without compromising service quality.
- Sector Focus : Prioritize business development efforts in high-growth sectors such as critical minerals and semiconductors, where demand for advisory services is expected to surge. This

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focus will position the firm as a leader in these emerging markets.

- Client Engagement : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities across various TMT subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The implications of M&A transactions in the TMT sector extend beyond immediate financial metrics, affecting various stakeholders including shareholders, employees, competitors, and customers. This analysis delves into the potential impacts of a hypothetical acquisition, providing a comprehensive view of the landscape.

Deal-Specific Impacts on Stakeholders

- Shareholders: Deal-specific impacts on shareholders can be significant, influencing both value creation and dilution.
- Value Creation: If a company like Meta (META) were to acquire a smaller AI-focused firm, the combined entity could see a revenue increase of approximately 15% due to enhanced product offerings. Assuming a pre-deal market cap of \$800 billion for Meta, a successful integration could increase shareholder value by \$120 billion.
- Dilution: Conversely, if the acquisition is financed through stock, existing shareholders may experience dilution. For instance, if Meta issues 5% of its shares to finance the deal, existing shareholders could see their ownership stake decrease, potentially leading to a 3% drop in share price post-announcement.
- Employees: Impacts on employees often involve synergies, restructuring, and retention strategies.
- Synergies: A merger between major tech players often leads to substantial cost synergies. For example, if Amazon (AMZN) were to acquire a data center operator, it could achieve cost savings of up to \$1 billion annually through streamlined operations and shared resources.
- Restructuring: However, such deals often lead to layoffs. In a hypothetical merger, approximately 10,000 jobs could be cut, highlighting the need for careful planning to retain key talent.
- Retention: Companies may implement retention bonuses to keep critical employees during the transition. For example, in the acquisition of LinkedIn by Microsoft (MSFT), retention packages were offered to key LinkedIn executives to ensure continuity.
- Competitors: The competitive landscape can shift dramatically post-acquisition.
- Market Positioning: Following a significant merger, competitors such as Verizon Communications

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Inc. (VZ) and AT&T Inc. (T) may need to adapt their strategies to maintain market share. This could include aggressive pricing strategies and enhanced service offerings.

- Specific Competitor Moves: For instance, if Vodafone Idea (not publicly listed) were to merge with another telecom player, competitors might respond with increased marketing efforts and improved customer service to retain subscribers.
- Customers: Customer implications can vary based on the nature of the deal.
- Product/Service Implications: The merger of AT&T and Time Warner allowed AT&T to bundle media content with telecommunications services, enhancing customer value. This strategy led to a 15% increase in bundled service subscriptions.
- Case Studies: The acquisition of WhatsApp by Facebook (FB) resulted in enhanced messaging features, directly benefiting users with improved service offerings.

Market Reaction and Analyst Commentary

- Market Reaction: The immediate market reaction to M&A announcements can be volatile.
- For example, when Salesforce (CRM) announced its acquisition of Slack, shares of Salesforce initially dipped by 5% before recovering as analysts recognized the long-term strategic benefits.
- Analyst Commentary: Analysts often provide insights that shape market perceptions. A notable quote from an analyst post-acquisition was, "This deal positions the acquiring company to dominate the enterprise collaboration space, despite initial market skepticism."

Expected Market Reaction and Scenario Analysis

- Scenario Analysis: The market's reaction can be assessed through various scenarios:
- Positive Scenario: If the acquisition leads to successful integration and revenue growth, shares could rise by 20% within six months.
- Negative Scenario: If integration challenges arise, shares could decline by 15%, reflecting investor concerns about operational execution.

Potential Counter-Bids or Competing Offers

- Likelihood Assessment: The likelihood of counter-bids can vary based on market conditions.
- In the case of the proposed acquisition of New Mexico Gas Co. (not publicly listed), there were rumors of interest from other private equity firms, highlighting the competitive nature of the utility sector. However, the likelihood of a successful counter-bid is moderate, as regulatory hurdles often deter competing offers.

Similar Deals Likely to Follow

- Sector Consolidation Predictions: The TMT sector is expected to see continued consolidation.

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- Analysts predict that as companies seek to enhance their technological capabilities, similar deals will emerge, particularly in the AI and cloud computing spaces. Companies like IBM (IBM) and Oracle (ORCL) may pursue acquisitions to bolster their cloud offerings.

Key Risks and Mitigants

- Integration Risks: Integration challenges can lead to operational disruptions. Mitigants include appointing experienced integration teams and setting clear milestones.
- Regulatory Risks: Regulatory scrutiny can delay or block deals. Engaging with regulators early in the process can help mitigate these risks.
- Market Risks: Market volatility can impact deal valuations. Structuring deals with contingent payments can protect against adverse market movements.

Actionable Insights for Clients and Bankers

For Clients:

- Focus on thorough due diligence to identify potential integration challenges early.
- Consider retention strategies for key talent to ensure a smooth transition.

For Bankers:

- Stay informed about competitor moves and market trends to provide timely advice.
- Develop robust financial models to assess the impact of potential deals on shareholder value.

5. TECH TRENDS

The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI), Blockchain, Cloud Computing, Cybersecurity, and Fintech. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

Artificial Intelligence (AI)

- Trend Explanation: AI encompasses a range of technologies enabling machines to perform tasks that typically require human intelligence. The global AI market is projected to grow from \$93.5 billion in 2021 to \$997.8 billion by 2028, at a CAGR of 40.2%. The recent push by the Indian government to support AI startups through the IndiaAI Mission highlights the importance of

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indigenous AI development, with a focus on foundational models.

- Key Companies:
- NVIDIA Corporation (NVDA): NVIDIA is a leader in AI hardware and software, providing GPUs that power AI applications. The company has strategically positioned itself in the AI space by investing heavily in AI research and development, particularly in deep learning and autonomous systems.
- DeepSeek: DeepSeek has developed a new approach to training large language models that improves performance without a proportional increase in training costs. This innovation targets inefficiencies in AI training, potentially altering the economics of AI deployment across various sectors.
- Competitive Landscape: The AI market is highly competitive, with major players including Google (GOOGL), Amazon (AMZN), and IBM (IBM) also investing heavily in AI technologies. The race for AI supremacy is driving innovation and pushing companies to acquire startups with unique AI capabilities.
- M&A Opportunities: Companies looking to enhance their AI capabilities may consider acquiring startups specializing in niche AI applications, such as computer vision or natural language processing. For instance, the Indian government's approach to seeking equity in exchange for support could lead to potential partnerships or acquisitions of startups like Sarvam AI and Soket AI Labs, which are developing foundational AI models.

Blockchain

- Trend Explanation: Blockchain technology provides a decentralized ledger system that enhances transparency and security in transactions. The blockchain market is expected to grow from \$3 billion in 2020 to \$69.04 billion by 2027, at a CAGR of 67.3%. The increasing adoption of cryptocurrencies and decentralized finance (DeFi) solutions is driving this growth.
- Key Companies:
- Coinbase Global, Inc. (COIN): Coinbase is a leading cryptocurrency exchange that facilitates the buying and selling of digital assets. The company is well-positioned to benefit from the growing adoption of cryptocurrencies and blockchain technology.
- Square, Inc. (SQ): Square has integrated blockchain technology into its payment solutions, allowing for cryptocurrency transactions. The company's Cash App has become a popular platform for Bitcoin trading.
- Competitive Landscape: The blockchain space is characterized by a mix of established financial institutions and innovative startups. Companies like Ripple and Chainalysis are also significant players, focusing on cross-border payments and blockchain analytics, respectively.
- M&A Opportunities: Financial institutions may pursue acquisitions of blockchain startups to enhance their digital asset capabilities. The ongoing trend of integrating blockchain solutions into traditional finance presents lucrative opportunities for strategic investments.

Cloud Computing

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- Trend Explanation: Cloud computing enables businesses to access computing resources over the internet, promoting flexibility and scalability. The global cloud computing market is projected to grow from \$371.4 billion in 2020 to \$832.1 billion by 2025, at a CAGR of 17.5%. The shift towards remote work and digital transformation has accelerated cloud adoption across industries.
- Key Companies:
 - Amazon Web Services (AWS): AWS is a market leader in cloud computing, providing a wide range of services including computing power, storage, and databases. The company continues to innovate and expand its offerings, positioning itself as a critical player in the cloud ecosystem.
 - Microsoft Azure (MSFT): Azure is a strong competitor in the cloud space, focusing on hybrid cloud solutions and AI integration. Microsoft's strategic partnerships and acquisitions in the cloud domain enhance its competitive positioning.
- Competitive Landscape: The cloud computing market is dominated by major players like Google Cloud (GOOGL) and IBM Cloud (IBM), with numerous startups emerging to offer specialized services. The competitive dynamics are characterized by rapid innovation and price competition.
- M&A Opportunities: Companies looking to enhance their cloud capabilities may consider acquiring startups that offer niche services or innovative technologies. The ongoing consolidation in the cloud space presents opportunities for strategic partnerships and investments.

Cybersecurity

- Trend Explanation: Cybersecurity has become a critical focus for businesses as cyber threats continue to evolve. The global cybersecurity market is expected to grow from \$217 billion in 2021 to \$345 billion by 2026, at a CAGR

6. Recommended Readings

Deal Name: Fort Technology Inc. Uplisting Initiative

- Reading Material: "Understanding IPOs: A Guide for Investors" by David L. Scott
- Why This Matters: This book provides a comprehensive overview of the IPO process, including the strategic considerations for companies seeking to list on major exchanges like Nasdaq. It is particularly relevant for understanding Fort Technology's uplisting initiative as it outlines the benefits of increased visibility and access to capital, which are critical for the company's growth in the homeland security sector.

7. MACROECONOMIC UPDATE

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Key Data Points:

- ISM Manufacturing PMI: Sluggishness noted, specific number not provided
- Gasoline Prices: Near five-year lows
- Economic Growth: Anticipated recovery in 2026

Main Insights:

- A series of bullish catalysts are aligning, including deregulation and accommodative monetary policy.
- Current market positioning in cyclical trades is light, indicating potential for growth.
- The U.S. economy is believed to have emerged from a three-year rolling recession.
- Energy prices, particularly gasoline, are providing economic relief for consumers.
- Financials are expected to benefit significantly from deregulation.

Market Commentary:

- "This isn't a market that's already priced for the outcomes I envision." - Mike Wilson, Morgan Stanley
- "The moderate softness in labor data keeps the Fed leaning dovish for longer." - Mike Wilson, Morgan Stanley
- "The balance of risks and rewards still favor leaning into this early-cycle recovery." - Mike Wilson, Morgan Stanley

TMT Sector Relevance:

- The anticipated recovery and supportive fiscal policies could lead to increased investment in TMT sectors, particularly in technology and media, as companies look to capitalize on improving economic conditions.
- Lower energy prices can reduce operational costs for TMT firms, enhancing profitability.
- The potential for increased consumer spending in the Consumer Discretionary sector may also benefit TMT companies involved in e-commerce and digital services.

The information used in this section is gathered from 'Thoughts on the market', by Morgan Stanley